(d) Planning Commission now monitors the progress of various central ministries.

(e) Agriculture sector declared as the *prime moving force* of the economy; governmental investment and attention tilting towards this sector after almost fifty years of the industry's dominance (as Amartya Sen suggested India to do).

(f) The changes in the view of planning are so pronounced that the Government has declared the plan as a *'reform plan'*. This Plan really intends to reform the way we planned.

Q. 9 'Economic reforms with human face'—examine the rationale behind it and the possible outcomes.

Ans. The new Union government (UPA) announced its committment to economic reforms with this sentence and the proverb got media attention. The political elite looks convinced today that the process of economic reform has not been able to take care of the masses, thus the future of the process will focus on it.

Economic reform with a human face is no empty rhetoric as it is based on stark realities and sound logic. As we know, in the era of reforms, the economy is moving towards the market economy in which demand/supply and price mechanism plays the main role. As a vast section of the population lacks the desired level of purchasing power, the process looks 'anti-poor' and thus, 'pro-rich'. Such reform processes might bring higher economic growth, but for equitable development, a conscious attempt for *inclusive growth* is essential.

The masses who lack the real level of purchasing capacity, should be supplied with subsidised goods and services till micro-level growth takes place. This is why the government is emphasising the *social sector* and enhancing its expenditure on the delivery of the so-called 'public goods' (education, water, healthcare, shelter, etc.).

However, analysts have cautioned the government that such policies are going to hamper growth and to increase fiscal deficit which will ultimately hurt development. But, till the poor are capable of taking on the market forces, the economy has to bear some cost. To sum up, we need growth for